Behavioral Benefits of Time Segmentation

Advocates of time segmentation argue that it can lead to better retiree behavior because it is more easily understood. Time segmentation can be more intuitive than the blender approach of the total-returns portfolio, as it's easier for people to understand that certain assets are to be used for different time horizons in retirement. It is a form of mental accounting. The approach is simple and clear to explain and understand.

But with traditional asset allocation, different asset classes are mixed into a single portfolio, and individuals experience difficulty relating to why they have a particular asset allocation or what the different parts of their portfolio are aiming to do. Bonds are used to dampen volatility, which leaves them behaving as sluggish stocks.

This lack of understanding of asset allocation could make a retiree vulnerable to panic and stock selling after a market decline. The argument is that when retirees instead have a front-end bond ladder, they know there is time for stocks to recover before they need to be sold. This provides the courage to leave stocks alone and to focus on a more long-term investing approach. To the extent that this helps a retiree to stay the course and to avoid panic selling of growth assets after a market decline, this can be a strong justification for time segmentation even if it is not necessarily a superior investing strategy for a fully rational investor.

Time Segmentation and Sequence-of-Returns Risk

A selling point for time segmentation is that it avoids short-term sequence-of-returns risk, as the volatile growth assets will not need to be sold immediately after a market drop in order to support retirement spending. The bond ladder does not have to be replenished every year. The retiree can wait for markets to recover before selling stocks in order to extend the bond ladder.

However, this point is controversial, as a fully functioning framework must extend the bond ladder at some point. That could trigger sequence risk. We must determine whether dynamic asset allocation is what is responsible for time segmentation outcomes. But first, it is worthwhile to explore sequence risk for individual bonds and bond funds a bit more, since this point is often confused during retirement.